equity investments are more like grants to cover losses and expenditures than investment.

CPSEs Are in Terminal Decline

CPSEs are commercial enterprises owned by the government. Most have been entrusted to non-civil servant managers, though some are run as departmental undertakings directly by civil servants.

The British organized the first government enterprises, the Railways and Post Office, which are still run as departmental undertakings. India had only five undertakings that could be called Central government enterprises at the time of Independence. However, that number grew massively in pursuance of a socialist pattern of society after Independence, which muzzled the private sector and saw the public sector growing in the most significant and capital-intensive segments of the economy.

CPSEs grew organically and inorganically (by nationalization) from the 1950s to 1980s. The 2018–19 survey classifies them in four major sectors—agriculture; mining and exploration; manufacturing, processing and generation; and services—and twenty industry/services groups. More than half the over Rs 25 lakh crore of gross turnover is contributed by petroleum (refinery and marketing) at Rs 13.84 lakh crore. Almost all operating CPSEs were set up before 1990.

The year 1991 marked a watershed for CPSEs. With every sector of the economy being opened again for the private sector, the government did not establish new CPSEs, except in financial and some other services. The CPSEs are losing share of value added every year.

There are a few sectors where CPSEs still have a share of more than 50 per cent, such as coal mining, crude oil exploration and extraction, petroleum product marketing, railways and banking. Even in these sectors, their share is fast contracting. In banking, CPSEs are losing market share at the rate of about 3 per cent a year. In oil exploration, almost all new finds